



Road Map for Viksit Bharat

The NDA government must fundamentally repurpose expenditures, tweak the tax regime, and retain only life-changing welfare measures

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THE NATIONAL Democratic Alliance (NDA), headed by a vastly experienced Prime Minister Narendra Modi, will present its first regular Budget of the third term this month.

Finance Minister Nirmala Sitharaman, while presenting the Interim Budget in February, had promised to present the road map for Viksit Bharat (Developed India) in this upcoming one. What is the vision of Viksit Bharat? What fundamental policy framework and programmes will be needed to lay the foundation and road map?

VISION OF VIKSIT BHARAT

India will not become *viksit* (developed) by becoming the third largest economy if the people of the country don't earn enough to afford a decent living.

The best way to define Viksit Bharat is to adopt the goal of making India a high-income country.

The World Bank classifies

a country as high-income if its average per capita income exceeds \$13,846 a year. As many as 83 countries are currently in this bracket. Fifty-four countries are in the upper middle-income bracket (\$4,466–13,845). India is not in these two categories.

With a per capita income of about \$2,500, India is part of the lower middle-income group of 54 countries (\$1,136–4,465), along with its South Asian neighbours.

To coincide with 100 years of Independence, we must deliver on the goal of making India a high-income country by 2050 to make it truly *viksit*. This will also provide a reasonable window of 25 years, across five governments, to realise the vision.

REPURPOSE EXPENDITURES

Expenditure policies in the second term of the Modi government were built around four basic pillars.

First, the government believed in the efficacy of capital expenditure (capex) to generate growth and committed over ₹30 lakh crore to it, with the last three years witnessing a capex of about ₹23 lakh crore.

Second, the government, while publicly castigating freebies, fell for them. Including cash transfers to farmers, free foodgrains to 810 million people, and virtually free fertilisers, the government spent ₹10.35 lakh crore in 2023–24 (Revised Estimates) on welfare.

Third, expenditures on public goods and services were kept on a tight leash (only ₹8.23 lakh crore in 2023–24 RE), neglecting the green agenda completely.

Fourth, the government did not seem to care for the runaway increase in non-productive expenditures like interest payments and pensions, which expanded massively to consume almost 37.5% of the FY24 Budget as per the Revised Estimates. The NDA government must fundamentally repurpose expenditures.

Instead of allocating a significant part of capex to unproductive trophy assets, particularly the Railways, the government must extricate itself from such wasteful capex and encourage the building of efficient infrastructure assets in the private sector, supported by liberal viability gap funding.

The production-linked incentive (PLI) schemes should be thoroughly reviewed by retaining and significantly expanding four PLIs on key digital age industrialisation priorities—electronics, communications, solar cells and modules, and batteries. All other PLIs in traditional and mature industrial sectors should simply be disbanded.

Welfare expenditures should be structured around two strategies. Building on the highly effective strategy of the first term—investment in life-changing social investments—the government must scale up assistance to poor households